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The Journal of Finance

1. Board Dynamics over the Startup Life Cycle

Authors: MICHAEL EWENS, NADYA MALENKO
DOI: 10.1111/jofi.70072

Fields & Theories:

- **Fields:** Corporate Finance, Venture Capital, Entrepreneurial Finance
- **Theories:** Agency Theory, Financial Contracting, Information Asymmetry

Abstract:

We explore the dynamics of venture capital (VC)-backed startup boards using novel data on director entry, exit, and characteristics. At formation, a typical board is entrepreneur-controlled. Independent directors join the median board after the second financing and hold a tie-breaking vote. Their presence is particularly likely when potential VC-entrepreneur conflicts are larger. At later stages, control switches to VCs and independent director characteristics change. These patterns align with key financial contracting theories, but also highlight unique roles of independent directors over the life cycle: mediation followed by advising. Independent directors thus represent another potential source of value-add to startup performance.

`EWENS - Board Dynamics over the Startup Life Cycle.pdf`

2. Personal Costs of Executive Turnovers

Authors: KASPER MEISNER NIELSEN
DOI: 10.1111/jofi.70064

Fields & Theories:

- **Fields:** Corporate Finance, Labor Economics
- **Theories:** Agency Theory, Human Capital Theory, Executive Labor Market

Abstract:

This study examines the income loss following forced CEO turnovers using income data from the official records at the Danish Tax Authority. We find that dismissed CEOs' personal income is 40% lower in the five years following forced turnovers. The decline is driven by labor market outcomes: labor and entrepreneurial incomes decline, while other sources of income increase. We find larger declines in income for executives with poor performance during their tenures, consistent with the executive labor market being the main channel for the lower income. Overall, the findings suggest that executives face significant personal costs from forced turnovers.

`NIELSEN - Personal Costs of Executive Turnovers.pdf`

3. Sequential Search for Corporate Bonds

Authors: MAHYAR KARGAR, BENJAMIN LESTER, SÉBASTIEN PLANTE, PIERRE-OLIVIER WEILL
DOI: 10.1111/jofi.70068

Fields & Theories:

- **Fields:** Market Microstructure, Financial Intermediation, Fixed Income
- **Theories:** Search Theory, Information Asymmetry, Over-the-Counter (OTC) Market Theory

Abstract:

Customers in over-the-counter (OTC) markets must find a counterparty to trade. Little is known about this process, however, because existing data consist of transaction records, which only reveal the outcome of a search. Using data from a trading platform for corporate bonds, we unpack the search process. We analyze how long it takes customers to trade and how dealers' offers evolve across repeated inquiries. We estimate

that it takes two to three days to complete a transaction after an unsuccessful attempt, with substantial variation across trade and customer characteristics. Our analysis offers insights into the sources of trading delays in OTC markets.

`KARGAR - Sequential Search for Corporate Bonds.pdf`

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4. Marginal Q

Authors: VITO D. GALA, JOAO F. GOMES, TONG LIU
DOI: 10.1111/jofi.70074

Fields & Theories:

- **Fields:** Corporate Finance, Asset Pricing, Investment Theory
- **Theories:** Neoclassical Theory of Investment, Tobin's Q, Adjustment Costs

Abstract:

We propose a new method to estimate the marginal value of capital under minimal assumptions. By combining asset prices with fundamentals, our method provides a quasi-model-free marginal q together with a simple correction for measurement error in (average) Tobin's Q using linear regressions. Marginal q yields plausible and robust estimates of adjustment costs and investment sensitivities to fundamentals. The widening gap between marginal q and Tobin's Q is driven primarily by market power and intangible capital. Our novel findings strongly support the neoclassical theory of investment and challenge the widespread use of Tobin's Q as proxy for investment opportunities.

`GALA - Marginal Q.pdf`

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5. Can Small Businesses Survive Chapter 11?

Authors: EDITH HOTCHKISS, BENJAMIN IVERSON, XIANG ZHENG
DOI: 10.1111/jofi.70076

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Bankruptcy and Restructuring
- **Theories:** Bargaining Theory, Transaction Cost Economics, Liquidation vs. Reorganization

Abstract:

A majority of small U.S. businesses attempting to reorganize in bankruptcy fail to do so. Subchapter V of Chapter 11 (SubV) streamlines bankruptcy for small firms by reducing bankruptcy costs and negotiation frictions, and enables entrepreneurs to retain ownership. We show that many businesses reorganize under SubV that otherwise would liquidate. Creditor recoveries and postbankruptcy survival rates are at least as high in SubV as in traditional Chapter 11s. Our results show the increase in reorganizations is not associated with continuation of unviable firms, and that creditors are not harmed by a shift in bargaining power toward small business owners.

`HOTCHKISS - Can Small Businesses Survive Chapter 11.pdf`

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6. The Unintended Consequences of #MeToo: Evidence from Research Collaborations in Economics and Finance

Authors: MARINA GERTSBERG
DOI: 10.1111/jofi.70075

Fields & Theories:

- **Fields:** Corporate Finance, Labor Economics, Gender in Finance
- **Theories:** Information Asymmetry, Risk Aversion, Trust and Social Capital

Abstract:

How did #MeToo alter collaboration between women and men? I show junior female researchers start fewer projects after #MeToo. A decrease in collaborations with male coauthors—especially new senior male coauthors at the same institution—largely explains the decline. The decrease is larger at universities with higher perceived harassment accusation risk and smaller where both women and men publicly express greater awareness of gender issues. I find no evidence that reduced collaboration improves research outcomes for junior female researchers. The results suggest that #MeToo led to a breakdown in trust that came at a cost for junior women's career opportunities.

`GERTSBERG - The Unintended Consequences of #MeToo Evidence from Research Collaborations in E.pdf`

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7. Reference-Dependent Preferences and Sentiment-Driven Asset Prices

Authors: JESS BENHABIB, ZHAORUI LI, XUEWEN LIU, PENGFEI WANG
DOI: 10.1111/jofi.70079

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance
- **Theories:** Reference-Dependent Preferences, General Equilibrium, Prospect Theory

Abstract:

This paper studies asset pricing under expectations-based reference-dependent preferences in a general equilibrium framework. We show that reference-dependent preferences can generate self-fulfilling risk panics, producing sentiment-driven asset price fluctuations through a feedback loop between current prices and perceived future downside risk—dynamics impossible under standard expected utility. The model helps explain empirical puzzles including (i) excess volatility, (ii) asymmetric volatility, (iii) asymmetric sentiment over the business cycle, (iv) excess asset price comovement, and (v) weak correlations between stock returns and economic fundamentals, alongside a sizable equity premium. Additional empirical evidence based on closed-end fund discounts and quantitative analysis support the theory.

`BENHABIB - Reference-Dependent Preferences and Sentiment-Driven Asset Prices.pdf`

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8. The Market for ESG Ratings

Authors: EHSAN AZARMSA, JOEL SHAPIRO
DOI: 10.1111/jofi.70078

Fields & Theories:

- **Fields:** Financial Intermediation, ESG/Sustainable Finance, Information Economics
- **Theories:** Information Acquisition, Competition Theory, Greenwashing

Abstract:

We present a model of competition between environmental, social, and governance (ESG) raters who acquire information about multiple unrelated categories and sell ratings. Raters specializing in different categories maximize the amount of information transmitted and surplus, and can be an equilibrium outcome. When investors place a high value on ESG performance across multiple categories, the unique equilibrium is for the raters to generalize—splitting their effort among the categories, resulting in less informative ratings. Greenwashing by firms can make generalization the only equilibrium. We also demonstrate that specialization maximizes ratings disagreement, and thus empirical measures of disagreement may be poor measures of surplus.

`AZARMSA - The Market for ESG Ratings.pdf`

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9. Longevity, Health, and Housing Risk Management in Retirement

Authors: PIERRE-CARL MICHAUD, PASCAL ST-AMOUR
DOI: 10.1111/jofi.70077

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Insurance
- **Theories:** Life-Cycle Model, Structural Estimation, Bequest Motives

Abstract:

Annuities, long-term care insurance, and reverse mortgages remain puzzlingly unpopular to manage post-retirement longevity, health, and housing price risks. We use a flexible life-cycle model structurally estimated with a unique stated-preference survey experiment of Canadian households to understand why. Key factors include high risk aversion, concern over long-run risks, strong discounting of valuation in disability states, imperfect housing substitutability, and bequest motives. The remaining disinterest is accounted for by information frictions and inertia. We also document evidence of public insurance crowding out, spousal co-insurance, and responsiveness to product bundling.

`MICHAUD - Longevity, Health, and Housing Risk Management in Retirement.pdf`

The Review of Financial Studies

1. Size-Based Regulation and Bank Fragility: Evidence from the Wells Fargo Asset Cap

Authors: Tianyue Ruan, Siddharth Vij
DOI: 10.1093/rfs/hhag071

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Regulation
- **Theories:** Regulatory Arbitrage, Difference-in-Differences, Moral Hazard

Abstract:

We argue that heightened regulation on large banks contributed to the rise in fragility of smaller banks revealed by the 2023 regional bank crisis. In 2018, regulators restricted Wells Fargo, the third largest U.S. bank, from growing its total assets. We estimate this asset cap led Wells Fargo to give up deposits amounting to 2.2% of aggregate bank deposits. These deposits, primarily uninsured, were reallocated to banks geographically proximate to Wells Fargo, including smaller, less regulated banks. In turn, these banks experienced higher deposit outflows once monetary tightening commenced and saw their stock prices plummet during the 2023 stress.

`Ruan - Size-Based Regulation and Bank Fragility Evidence from the Wells Fargo Asset Cap.pdf`

2. International Arbitrage Premia

Authors: Mirela Sandulescu, Paul Schneider
DOI: 10.1093/rfs/hhag054

Fields & Theories:

- **Fields:** Asset Pricing, International Finance, Derivatives
- **Theories:** No-Arbitrage Condition, Hansen–Jagannathan Distance, Arbitrage Pricing Theory

Abstract:

We introduce the nonlinear arbitrage correction (NAC), the residual that renders a linear benchmark model arbitrage-free while preserving the law of one price. The price of NAC captures the marginal Sharpe ratio increase consistent with no-arbitrage and upper-bounds the constrained Hansen–Jagannathan distance. Using four decades of international equity, currency, and factor returns, NAC is strongly countercyclical, peaking

during crises when linear models turn negative. The implied Sharpe ratio increase reaches 0.3, underscoring its economic relevance. While linear models perform well on average, they fail in distressed states, underpricing nonlinear payoffs. Incorporating NAC restores positivity and stabilizes pricing across regimes.

`Sandulescu - International Arbitrage Premia.pdf`

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3. What Do Impact Investors Do Differently?

Authors: Shawn Cole, Leslie Jeng, Josh Lerner, Natalia Rigol, Benjamin N Roth
DOI: 10.1093/rfs/hhag074

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Venture Capital, Corporate Finance
- **Theories:** Stakeholder Theory, Impact Investing, Signaling

Abstract:

Do impact investors seek impact, or merely "impact wash"? We provide systematic evidence on the non-financial determinants of impact investing. Impact investors focus on firms aligned with the priorities of the federal government and disproportionately invest in economically disadvantaged regions. While we find high levels of coinvestment between impact and traditional investors, we also show that impact investors influence the strategies of their traditional coinvestors, are more likely to fund firms in nascent industries, and invest countercyclically. Finally, we characterize investment heterogeneity based on a novel classification of impact investment theses, with a focus on climate, environment, and jobs and equity.

`Cole - What Do Impact Investors Do Differently.pdf`

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4. Personal Bankruptcy Protection and Household Debt

Authors: Felipe Severino, Meta Brown, Rajashri Chakrabarti
DOI: 10.1093/rfs/hhag076

Fields & Theories:

- **Fields:** Household Finance, Financial Regulation, Credit Risk
- **Theories:** Moral Hazard, Supply and Demand Equilibrium, Difference-in-Differences

Abstract:

Increasing personal bankruptcy protection raises consumers' desire to borrow and lenders' cost of extending credit; the impact on equilibrium borrowing is ambiguous. Using bankruptcy protection changes between 1999 and 2005 across U.S. states, we find that borrowers respond to greater protection by increasing their unsecured debt. Border county estimates suggest that local economic conditions do not drive these results. Borrowers pay more for protection through higher interest rates, yet delinquency is unaffected. Our results indicate that rising borrower demand outstripped decreasing supply. Increased protections did not reduce the aggregate level of household debt but affected the composition of borrowing.

`Severino - Personal Bankruptcy Protection and Household Debt.pdf`

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5. The Real Effects of Environmental Activist Investing

Authors: S Lakshmi Naaraayanan, Kunal Sachdeva, Varun Sharma
DOI: 10.1093/rfs/hhag073

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Shareholder Activism
- **Theories:** Agency Theory, Stakeholder Theory, Externalities

Abstract:

We study the real effects of environmental activist investing. Using plant-chemical-level data, we find that targeted firms reduce their production-related emissions. Air quality improvements in the vicinity of targeted plants suggest potentially significant externalities for local economies. Reductions come from increased abatement expenditures and on-site source reduction initiatives, which negatively affect the financial performance of targeted firms. We rule out alternative explanations, including declines in production and plant closures, and provide evidence that firms respond to the specific demands of activists. Our findings suggest that environmental activism is an effective tool for long-term shareholders to address climate change risks.

`Naaraayanan - The Real Effects of Environmental Activist Investing.pdf`

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6. Underrepresentation of Women CEOs

Authors: Li He, Toni M Whited
DOI: 10.1093/rfs/hhag077

Fields & Theories:

- **Fields:** Corporate Finance, Labor Economics, Gender and Diversity
- **Theories:** Dynamic Structural Modeling, Search Theory, Agency Theory, Discrimination Theory

Abstract:

Why do so few women become CEOs? To understand this glass ceiling, we estimate a dynamic model of the CEO gender decision, which contains perceived gender productivity differences, search costs reflecting limited female labor supply, and employer disutility from discrimination. The key factor is the shortage of suitable female candidates, as boards prefer hiring women, and productivity differences between genders are minimal. We find no evidence of a glass cliff in which women become CEOs just as firms are failing. While better governance is associated with women becoming CEOs, the importance of limited female labor supply is unrelated to governance.

`He - Underrepresentation of Women CEOs.pdf`

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7. Carbon Emissions and the Bank-Lending Channel

Authors: Marcin Kacperczyk, José-Luis Peydró
DOI: 10.1093/rfs/hhag078

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, ESG/Sustainable Finance
- **Theories:** Bank-Lending Channel, Credit Supply Shocks, Information Asymmetry, Greenwashing

Abstract:

We study how firm-level carbon emissions affect bank lending and real outcomes in a sample of global firms with syndicated loans. We exploit bank-level climate commitments as firm-level shocks to lending relationships, using firms' prior credit exposures to identify credit supply effects. Firms with higher emissions that previously borrowed from committed banks receive less bank credit. Evidence from lending volumes, prices, and within-firm-time loan-level data indicates a supply-side shift away from high-emission firms, not explained by borrower risk. Affected firms reduce debt, leverage, size, and investment, yet we find no reduction in future emissions, instead documenting evidence consistent with greenwashing.

`Kacperczyk - Carbon Emissions and the Bank-Lending Channel.pdf`

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8. Long Rates, Life Insurers, and Credit Spreads

Authors: Ziang Li
DOI: 10.1093/rfs/hhag079

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Pricing, Fixed Income, Corporate Finance
- **Theories:** Intermediary Asset Pricing, Duration Mismatch, Regression Discontinuity, Risk-bearing Capacity

Abstract:

This paper proposes a new channel through which long-term interest rates transmit to credit spreads. When life insurers carry negative duration gaps, higher rates reduce their liabilities more than assets. Rate increases therefore boost equity and risk-bearing capacity, lowering equilibrium credit spreads. Empirically, I test this channel with bond-level yields and a maturity-based discontinuity in bond ownership. Insurers' trades confirm the mechanism: after rates rise, insurers shift portfolios towards riskier, high-yield bonds. As rates increase, bonds more heavily held by life insurers experience greater spread reductions. The results show that institutional duration mismatch shapes credit spreads and corporate financing conditions.

`Li - Long Rates, Life Insurers, and Credit Spreads.pdf`

Review of Finance

1. Face-to-face or face on screen: social interactions and mutual fund trading

Authors: Yi Dong, Lin Peng, Lu Qiu, Xinrong Xiao
DOI: 10.1093/rof/rfag030

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Information Microstructure
- **Theories:** Information Asymmetry, Social Networks, Search Theory

Abstract:

We examine how in-person and virtual interactions shape mutual fund investment decisions using a comprehensive dataset of corporate site visits. Before COVID-19, fund pairs jointly attending in-person visits trade more similarly (by 20 percent of a standard deviation) than matched controls. The effect is present in holdings of stocks unrelated to the hosting firm, and remains robust when aggregated to industry, geographic, and asset-class levels; it is stronger among managers with familiarity, similar seniority, and mixed gender. Stocks purchased by jointly visiting funds earn higher subsequent returns, indicating that these exchanges convey valuable information. Exploiting the exogenous shift to virtual communication during COVID-19, we find in-person visits remain associated with correlated trading, whereas virtual visits have weaker effects. A survey of fund managers confirms that visits prompt information exchange, follow-up research, and portfolio adjustments. In-person interactions appear central to information acquisition, and virtual interactions do not easily replicate this function.

`Dong - Face-to-face or face on screen social interactions and mutual fund trading.pdf`

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2. Firm net worth, external finance premia, and monitoring costs: estimates based on firm-level data

Authors: Gregor Bäurle, Sarah M Lein, Elizabeth Steiner
DOI: 10.1093/rof/rfag032

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Macro-Finance
- **Theories:** Financial Accelerator, Costly State Verification, Information Asymmetry, Instrumental Variables

Abstract:

The sensitivity of the external finance premium to firms' net-worth-to-capital ratio is central to the strength

of the financial accelerator, yet direct firm-level evidence remains scarce. We estimate this elasticity using balance sheet and income statement data for Swiss nonfinancial firms over 1998–2016. To address the endogeneity of net worth, we employ two complementary instrumental variable strategies: one based on firms' nonoperating income and the other a shift–share design that interacts predetermined exposure to financial income with aggregate dividend returns. Mapping the estimated elasticity into the costly state verification framework as implemented by Bernanke et al. yields structural monitoring costs of about one quarter of firms' gross return on capital, with estimates ranging from 0.15 to 0.35 across specifications. Our results provide direct firm-level support for the financial accelerator mechanism and imply monitoring costs of the same order of magnitude as the benchmark calibration of Bernanke et al.

`Bäurle - Firm net worth, external finance premia, and monitoring costs estimates based on.pdf`

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3. When loss strikes twice: severe health shocks and financial well-being

Authors: Kaveh Majlesi, Elin Molin, Paula Roth
DOI: 10.1093/rof/rfag031

Fields & Theories:

- **Fields:** Household Finance, Public Finance, Real Estate Finance
- **Theories:** Self-Insurance, Life-Cycle Model, Intergenerational Spillovers

Abstract:

We study how fatal and nonfatal health shocks affect households' ability to meet their financial obligations. We find that fatal shocks substantially increase the likelihood of default and that housing wealth plays a key role as a self-insurance mechanism. Surviving spouses who experience the largest income losses are more likely to sell their homes, and those without housing wealth face a sharply higher risk of debt collection. In the most financially vulnerable families, these shocks even generate intergenerational spillovers. In contrast, nonfatal health shocks lead to only modest increases in default risk. Taken together, our findings suggest that strengthening survivors' benefits for households with limited resources could improve welfare across generations.

`Majlesi - When loss strikes twice severe health shocks and financial well-being.pdf`

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4. Shrinking the term structure

Authors: Damir Filipovic, Markus Pelger, Ye Ye
DOI: 10.1093/rof/rfag033

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Financial Econometrics
- **Theories:** Factor Models, Nonparametric Estimation, Principal Component Analysis

Abstract:

We propose a new framework to explain the factor structure in the full cross-section of Treasury bond returns. Our method unifies nonparametric curve estimation with cross-sectional factor modeling. We identify smoothness as a fundamental principle of the term structure of returns. Our approach implies investable factors, which correspond to the optimal spanning basis functions in decreasing order of smoothness. Our factors explain the slope and curvature shapes frequently encountered in principal component analysis. In a comprehensive empirical study, we show that the first four factors explain the time-series variation and risk premia of the term structure of excess returns. Cash flows are covariances, as the exposure of bonds to factors is fully explained by cash flow information. We identify a state-dependent complexity premium. The fourth factor, which captures complex shapes of the term structure premium, substantially reduces pricing errors and pays off during recessions.

`Filipovic - Shrinking the term structure.pdf`